SUMMARY · MK 5 DECISION MAKING & NEGOTIATION · WEEK 2

The Rational Framework; Intuition vs Deliberation

Decision styles, objectives–problems–decisions, levels, and the six-step model (classify problem, objectives & must/want criteria, creative alternatives, analyse & select, implement, control). Reading: Milkman, Chugh & Bazerman on shifting to Type 2 or leveraging Type 1 (nudges).

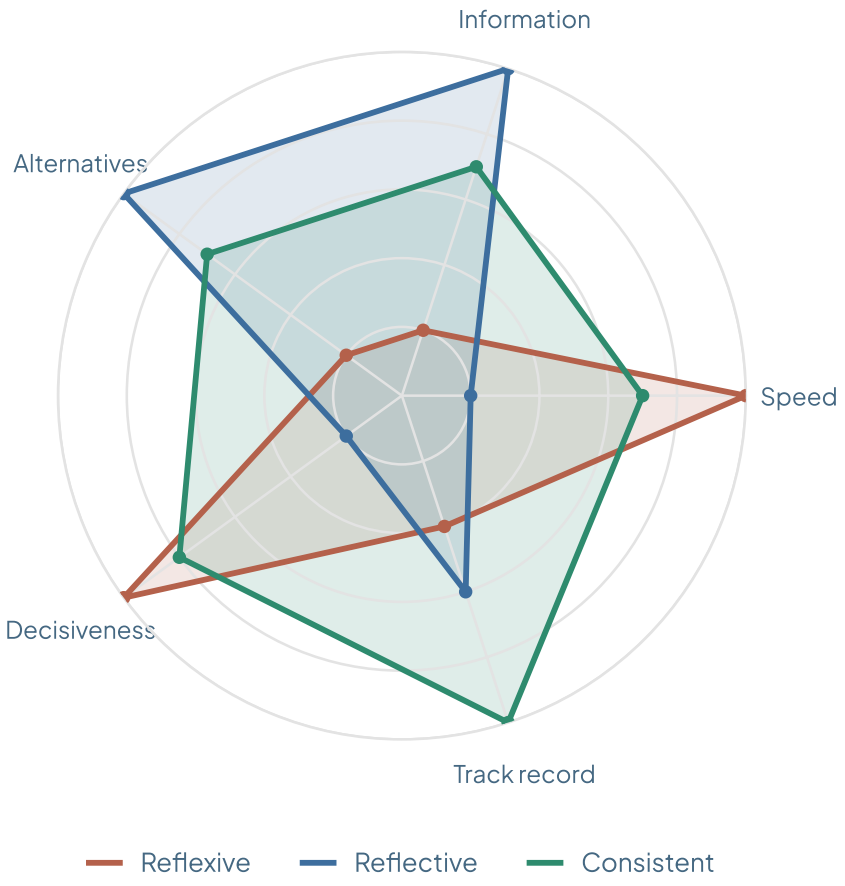
Material

1 Decision-making styles

Reflexive (fast, decisive, wasteful), reflective (thorough, slow), consistent (balanced). A problem is a gap between actual and desired; decision making selects the corrective action. Decisions pervade all management functions and occur at personal, managerial and multiparty levels.

2 The three styles in one chart Deep dive

Decision-style profile (conceptual, 1–5)



The consistent style knows when information is enough.

3 The six-step decision model

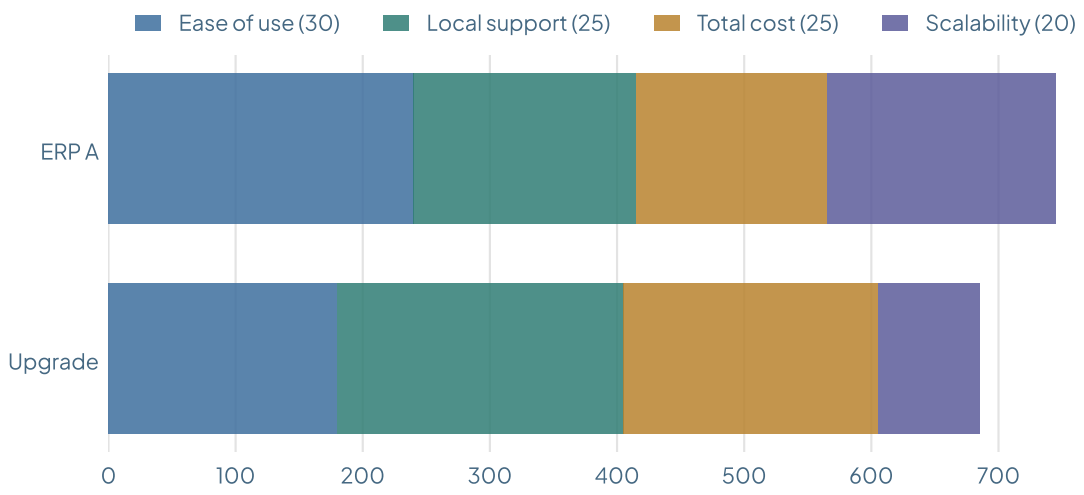
Six steps: classify (programmed/non-programmed; certainty/risk/uncertainty; individual/group; rational/bounded), set objectives and must/want criteria, generate alternatives (brainstorming, synectics, nominal group, consensus mapping, Delphi), analyse and select, plan and implement, control.

4 MUSTs then WANTs: scoring the IT vendors Deep dive

Screen MUSTs first (pass/fail), then score WANTs (illustrative scores).

MUST	Upgrade	ERP A	ERP B	Outsource
Budget ≤ 2bn	✓	✓	×	✓
Tax integration	✓	✓	✓	✓
Data in Indonesia	✓	✓	✓	×

Weighted WANT score (illustrative)



`ERP A 745 vs Upgrade 685`

Check risk next

Assess what could go wrong with the top option.

5 Reading: Intuition vs Deliberation

Type 1 is fast and automatic; Type 2 slow and deliberate. Warnings alone rarely debias. Shift to Type 2: linear models, outsider view, consider the opposite, groups, accountability, analogical reasoning, joint evaluation. Leverage Type 1:

nudges and defaults (401(k)). Want vs should selves and preference reversals; commitment devices help.

6 Two strategies to improve decisions Deep dive

Shift to Type 2

- Consider the opposite
- Outside view
- Linear models
- Joint evaluation

Leverage Type 1

- Defaults
- Commitment devices
- Planning prompts
- Framing

7 Bounded rationality and group decisions

Bounded rationality (Herbert Simon). The rational model assumes we know every alternative and consequence and have unlimited time. In reality information, time and thinking capacity are limited. So people **satisfice**: choose the first alternative that is "good enough" against a minimum threshold rather than searching for the optimum. This is not always wrong — for routine decisions satisficing is efficient. The problem arises with big strategic decisions that are hard to reverse, where the first "good enough" alternative can be far from the best.

Individual vs group:

Group weaknesses Slower, blurred responsibility, dominated by the most senior or most vocal person, and prone to *groupthink*.

Groupthink (Janis) occurs when the wish for harmony overrides critical judgement. Signs: an illusion of invulnerability ("we can't be wrong"), rationalising warnings, stereotyping outsiders, pressure on dissenters, self-censorship, an illusion of unanimity, and "mind guards" who filter out bad news.

Technique	How it works	Best for
Devil's advocate	One person is assigned to argue against the proposal	Testing the assumptions of a plan everyone already likes
Nominal group technique	Everyone writes ideas alone first, shares them in turn, discusses, then votes privately	Preventing domination by the boss and anchoring on the first idea
Delphi	Experts answer anonymously over several rounds, see the group summary, then revise	Forecasts when experts are dispersed or defer to each other
Pre-mortem (Klein)	"Imagine it is a year from now and this project failed completely. Write down why."	Finding risks before starting — similar to PPA in KT

≡ **Rule of thumb**

The leader should speak *last*. If the boss gives an opinion first, it becomes an anchor and other members tend to align with it.

Key takeaways

1. Reflexive, reflective, consistent.
2. A problem is a gap.
3. Six-step model.
4. MUST vs WANT.
5. Certainty, risk, uncertainty.
6. Shift to Type 2 or nudge Type 1.

Case studies

Case & worked answers

Applying the six steps: choosing an IT vendor

Illustration: classify the problem, set the objective (close books ≤5 days), MUST criteria screen, weighted WANT criteria score, alternatives from brainstorming/Delphi, pilot implementation, monthly checkpoints, and "consider the opposite" before committing.

Practice questions

Try answering first. The answer key is below each question.

1. A pass/fail, unweighted criterion is a…

A. WANT
B. MUST
C. Attribute
D. Swing weight

Answer: B. MUSTs screen; WANTs compare.

2. Choosing a 'good enough' option is…

A. Optimising
B. Satisficing
C. Anchoring
D. Groupthink

Answer: B. Bounded rationality.

3. Anonymous experts over several rounds is…

A. Brainstorming
B. Synectics
C. Delphi
D. Nominal grouping

Answer: C. Delphi reduces social pressure.

4. Automatic pension enrolment is…

A. Type 2 shift
B. A default nudge
C. Risk analysis
D. Delphi

Answer: B. Uses Type 1 inertia.

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5. The main reason decisions aren't implemented…

A. Too few options
B. No detailed who–what–when plan
C. Wrong weights
D. Too much data

Answer: B. Steps 5–6.

Sources

- [Share] Rational Framework of Decision Making and Negotiation (MK5 W2)
- Milkman, Chugh & Bazerman, 'How Can Decision Making Be Improved?', Rotman Magazine 2010
- Thaler & Sunstein, Nudge